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DOUBLE WHAMMY: RECESSION AT HOME AND MELTDOWN ABROAD

"Thankfully, domestic demand has been retained. But the markets in the US and Europe are still weak. I expect the demand to pick up only next year."

It's not that there has been no action to cap the decline. But if the series of stimulus packages since December 2008 are not creating miracles, it is because 60 per cent of textiles and over 70 per cent of clothing are exported to the US and European markets. The falling shipments, therefore, have impacted Indian exports. Textiles Minister Dayanidhi Maran, who has embarked on an ambitious design to transform the sector with the tried and tested formula of "manufacture in India, market in India", feels there is an urgent need to broaden the product mix and explore new markets. "That's the key even as we continue to maintain and increase the share of Indian textiles and clothing in core markets through product innovation. At present, there is hardly any

WHAT'S WRONG AND WHAT NEEDS TO BE DONE

■ The Indian textile sector has lost one million jobs in a year. The Technological Upgradation Fund will help modernise mills and boost employment. More incentives are needed in time to create fresh capacities and open new job opportunities.

■ Investments in the sector have dipped by 49 per cent from '06-07. India allows 100 per cent FDI through the automatic route but investors have been losing interest. There is a need for roadshows abroad and more integrated textile parks to attract investors.

■ India is losing its markets in the US and Europe to smaller countries like Bangladesh. The move to diversify to newer geographies will work only if the Government supports its exporters like its neighbours to retain a level-playing field.

■ India's exports have fallen from \$21 billion in the last few years to \$18 billion last year. There is a thrust on adding new products to the export basket like technical textiles. But India needs to focus on garments and apparel sector, its biggest strength, to drive export growth.

■ The cost of doing business for exporters is excruciatingly high in India. There is a move to ease transaction expenses in the foreign trade policy. Various local taxes, however, need to be factored in the duty drawback to cut export costs.

value addition taking place," says Maran. That apart, the industry continues to be hamstrung by lack of timely credit at globally competitive rates, high input prices and lack of funds which deny it a level-playing field with arch rivals like China.

But except for Maran's initiative to clear the backlog in the Technology Upgradation Fund Scheme (TUFs) and inaugurate a few modernised mills, there are no tangible benefits for the industry so far. The foreign trade policy (FTP) announced last month does not go beyond general concessions. Expectations from a battered industry were riding high on the FTP this year, especially during the run-up to the policy which saw expressions of sympathy and frequent references to sectors hit hard by the meltdown. Special measures were promised for labour-intensive sectors plagued by low production, obsolete technology and job losses. "We have gone the extra mile

“ The funds crunch will impact exports and the employment scenario.”

A. SAKTHIVEL, President, FIEO



to protect and further your interests," Rahul Khullar, commerce secretary, even told textile exporters. But there is nothing in the policy to implement these objectives like incentives in the form of special subvention for the garments sector to expand capacities and create new jobs.

The textiles sector is also reeling under high interest rates of 12-13 per cent, but all that has been done by way of relief is extension of the 2 per cent subvention instead of increasing it to 4 per cent as desired by industry. Even general concessions in the FTP have kept the sector out. For instance, says D.K. Nair, secretary-general, Confederation of Indian Textile Industry (CITI), the 1 per cent additional duty scrips for status holders and zero duty for imports under the Export Promotion Capital Goods